

Calendar Line 3

Case Name: *Guerrero v. JB Restaurant #4365, Inc., et al.*

Case No.: 23CV418940

This is a putative class and Private Attorneys General Act (“PAGA”) action. Plaintiffs Olivia Guerrero and Edith Martinez (collectively, “Plaintiffs”) allege defendants JB Restaurant #4365, Inc., JB Restaurant #401, Inc., JB Restaurant #438, Inc., JB Restaurant #476, Inc., JB Restaurant #483, Inc., JB Restaurant #3419, Inc., JB Restaurant #3425, Inc., JB Restaurant #3462, Inc., JB Restaurant # 3464, Inc., JB Restaurant #4388, Inc., LJ & MW Enterprises, Inc. (collectively, “Defendants”) committed various wage and hour violations.

Before the Court is Plaintiffs’ motion for final approval of settlement, which is unopposed. As discussed below, the Court issues its tentative ruling as follows.

I. BACKGROUND

According to the allegations of the operative second amended complaint (“SAC”), Plaintiff Guerrero was employed by Defendant as an hourly paid, non-exempt cook from approximately December 2015 to March 2023. (SAC, ¶ 4.) Plaintiff Martinez was employed by Defendants as an hourly paid, non-exempt cashier from approximately September 2020 to May 2023. (SAC, ¶ 5.)

Plaintiffs allege Defendants failed to, among other things: timely pay all wages owed, including minimum and overtime; provide meal periods or compensation in lieu thereof; provide rest periods or compensation in lieu thereof; provide complete and accurate wage statements; maintain complete and accurate payroll records; pay all wages due upon termination; fully reimburse for business expenses. (SAC ¶¶ 35-46.)

Based on the foregoing, Plaintiff Guerrero initiated this action on July 17, 2023 with the filing of the complaint and October 2, 2023, she filed her first amended complaint which asserted the following causes of action: (1) violation of Labor Code §§ 510 and 1198 (unpaid overtime); (2) violation of Labor Code §§ 1182.12, 1194, 1197, 1197.1, and 1198 (unpaid minimum wages); (3) violation of Labor Code §§ 2267, 512, subdivision (a), 516, and 1198 (failure to provide meal periods); (4) violation of Labor Code §§ 226.7, 516, and 1198 (failure to authorize and permit rest periods); (5) violation of Labor Code §§ 226, subdivision (a), 1174, subdivision (d), and 1198 (non-compliant wage statements and failure to maintain payroll records); (6) violation of Labor Code §§ 201 and 202 (wages not timely paid upon termination); (7) violation of Labor Code § 204 (failure to timely pay wages during employment); (8) violation of Labor Code §§ 2802 (unreimbursed business expenses); (9) civil penalties under Labor Code § 2698, *et seq.* (PAGA); (10) violation of Business & Professions

Code §§ 17200, *et seq.* (unlawful business practices); and (11) violation of Business & Professions Code §§ 17200, *et seq.* (unfair business practices). On April 22, 2024, Plaintiff filed the operative SAC, which asserts the same claims and added Plaintiff Martinez to this action.

On March 26, 2026, the Court issued its order which granted Plaintiffs' motion for preliminary approval of class and PAGA settlement (the "Settlement").

Plaintiffs now move for an order finally approving: the Settlement; payments to class members, PAGA members, and the LWDA; and costs to settlement administrator Phoenix Settlement Administrators ("Phoenix").

II. LEGAL STANDARDS FOR SETTLEMENT APPROVAL

A. Class Action

Generally, "questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court's broad discretion." (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234–235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244–245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of relevant factors, depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.) The trial court also must independently confirm that "the consideration being received for the release of the class members' claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation." (*Kullar, supra*, 168 Cal.App.4th at p. 129.) Of course, before performing its analysis the trial court must be "provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise." (*Id.* at pp. 130, 133.)

B. PAGA

Labor Code section 2699, subdivision (1)(2) provides that “[t]he superior court shall review and approve any settlement of any civil action filed pursuant to” PAGA. The court’s review “ensur[es] that any negotiated resolution is fair to those affected.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 2022 U.S. LEXIS 2940.)

Similar to its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76–77.) It must make this assessment “in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public”], quoting LWDA guidance discussed in *O’Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O’Connor*).)

The settlement must be reasonable in light of the potential verdict value. (See *O’Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-CV-02198-EMC) 2016 WL 5907869, at *8–9.)

III. SETTLEMENT CLASS

All persons who worked for Defendant as non-exempt, hourly employees in the State of California at any time during the Class Period.²

Rule 3.769(d) of the California Rules of Court states that “[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing.” California Code of Civil Procedure Section 382 authorizes certification of a class “when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court”

Section 382 requires the plaintiff to demonstrate by a preponderance of the evidence: (1) an ascertainable class and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326, 332 (*Sav-On Drug Stores*).) “Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing.” (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.) The plaintiff has the

² The Class Period is defined as the period from July 17, 2019, through October 24, 2025.

burden of establishing that class treatment will yield “substantial benefits” to both “the litigants and to the court.” (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.)

In the settlement context, “the court’s evaluation of the certification issues is somewhat different from its consideration of certification issues when the class action has not yet settled.” (*Luckey v. Superior Court* (2014) 228 Cal.App.4th 81, 93.) As no trial is anticipated in the settlement-only context, the case management issues inherent in the ascertainable class determination need not be confronted, and the court’s review is more lenient in this respect. (*Id.* at pp. 93–94.) But considerations designed to protect absentees by blocking unwarranted or overbroad class definitions require heightened scrutiny in the settlement-only class context, since the court will lack the usual opportunity to adjust the class as proceedings unfold. (*Id.* at p. 94.)

At preliminary approval, the Court provisionally certified the above-described Class, and it does not find any reasons to depart from that ruling at this time. Consequently, the Court will certify the Class for settlement purposes as requested.

IV. TERMS AND ADMINISTRATION OF SETTLEMENT

The non-reversionary gross settlement amount is \$ 1,000,000. Attorneys’ fees of up to one-third, which is approximately \$333,333, litigation costs of up to \$20,000, and administrative costs of \$15,500. \$60,000 will be allocated to PAGA penalties, with \$45,000 paid to Labor and Workforce Development Agency (“LWDA”) and \$15,000 will be distributed to PAGA Members, who are defined as “all persons who worked for Defendant as non-exempt, hourly employees in the State of California at any time during the PAGA Period.”³ Plaintiffs will seek a Class Representative Service Award in the amount of \$10,000 each—totaling \$20,000.

The net settlement amount—which is estimated to be \$551,167—will be allocated to members of the Class, who are defined as “all persons who worked for Defendant as non-exempt, hourly employees in the State of California at any time during the Class Period.” The average individual payment will be \$363.81. For tax purposes, 20% of each individual Class payment will be allocated as wages and 80% will be located as non-wages. Funds associated with checks uncashed after 180 days will be transmitted to the State Controller’s Office, Unclaimed Property Division.

In exchange for settlement, Class Members who do not opt out will release:

[A]ll claims, rights, demands, liabilities, and causes of action that are alleged in the operative Complaint, or which could have been alleged by reason of, or in connection with, any manner or fact set forth or referred to in the operative Complaint, including claims for violation of: 1) California Labor Code sections 510 and 1198 (unpaid overtime); (2) California Labor Code sections 1182.12, 1194, 1197, 1197.1, and 1198 (unpaid minimum wages); (3) California Labor Code sections 226.7, 512(a), 516, and 1198 (failure to provide meal periods); (4) California Labor Code sections 226.7, 516, and 1198 (failure to authorize and permit rest periods); (5) California Labor Code sections 226(a), 1174(d), and

³ The PAGA Period is defined as the period from May 13, 2022, through October 24, 2025.

1198 (non-compliant wage statements and failure to maintain payroll records); (6) California Labor Code sections 201 and 202 (wages not timely paid upon termination); (7) California Labor Code section 204 (failure to timely pay wages during employment); (8) California Labor Code section 2802 (unreimbursed business expenses); (9) California Business & Professions Code sections 17200, *et seq.* (unlawful business practices); and (10) California Business & Professions Code sections 17200, *et seq.* (unfair business practices).

PAGA Members, who consistent with the statute will not be able to opt out of the PAGA portion of the settlement, will release:

[A]ll claims for civil penalties under California Labor Code §§ 2698, *et seq.*, that were brought or could reasonably have been brought based on the same facts alleged in Plaintiffs' LWDA letter during the PAGA Period.

The notice period has now been completed. Jarrod Salinas ("Salinas"), a case manager for Phoenix, submitted a declaration in support of the instant motion. On March 22, 2026, Phoenix received the notice packet and on April 9, 2026, defense counsel provided the Class list, which was processed and updated by Phoenix using the National Change of Address Database. On April 24, 2026, Phoenix mailed notice packets to 1,515 Class members. As of the date of Salinas' declaration, 12 notice packets have been returned and Phoenix performed skip traces and remained 4 notice packets. Thus, 8 notice packets have been deemed undeliverable.

The deadline to respond was June 8, 2026. As of the date of Salinas' declaration, Phoenix received 0 requests for exclusion and 0 objections to the settlement. Consequently, there are 1,515 participating Class members, representing 100% of the Class. The average individual payment is 363.81, with the highest being \$5,388.39. The average PAGA payment is \$25.38, with the highest being \$171.57.

Plaintiffs request \$15,500 for administration costs. This request is supported by Salinas' declaration. Thus, the amount is reasonable and therefore, it is approved.

At the preliminary approval, the Court found that the proposed settlement provides a fair and reasonable compromise to Plaintiffs' claims. It finds no reason to depart from these findings now, especially considering that there are no objections. Therefore, the Court finds that the Settlement is fair and reasonable for the purposes of final approval.

V. ATTORNEYS' FEES, LITIGATION COSTS, AND PLAINTIFFS' SERVICE AWARD

Class Counsel seeks a fee award of \$333,333 or one-third of the gross settlement amount, which is not an uncommon contingency fee in a wage and hour class action. Class Counsel provides a lodestar figure of \$203,412.50, based on 283.8 hours of work at billing rates ranging from \$500 to \$1,050 per hour, resulting in a multiplier of 1.64, which is within the range of multipliers that courts typically approve. (See *Wershba*, *supra*, 91 Cal.App.4th at p. 255 ["[m]ultipliers can range from 2 to 4 or even higher"]; *Vizcaino v. Microsoft Corp.* (9th Cir. 2002) 290 F.3d 1043, 1051, fn. 6 [stating that multipliers ranging from one to four are typical in common fund cases and citing the court's own survey of large settlements funding a range of

0.6-19.6, with most (20 to 24, or 83%) from 1.0-4.0 and a bare majority (13 of 24, or 54%) in the 1.5-3.0 range”].)

“While the percentage method has been generally approved in common fund cases, courts have sought to ensure the percentage fee is reasonable by refining the choice of a percentage or by checking the percentage result against the lodestar-multiplier calculation.” (*Laffitte v. Robert Half Intern, Inc.* (2016) 1 Cal.5th 480, 495 (*Laffitte*).) Applying the latter approach,

[T]he percentage-based fee will typically be larger than the lodestar based fee. Assuming that one expects rough parity between the results of the percentage method and the lodestar method, the difference between the two computed fees will be attributable solely to a multiplier that has yet to be applied. Stated another way, the ratio of the percentage-based fee to the lodestar-based fee implies a multiplier, and that implied multiplier can be evaluated for reasonableness. If the implied multiplier is reasonable, then the cross-check confirms the reasonableness of the percentage-based fee; if the implied multiplier is unreasonable, the court should revisit its assumptions.

(*Laffitte, supra*, 1 Cal.5th at p. 496, quoting Walker & Horwich, *The Ethical Imperative of a Lodestar Cross-check: Judicial Misgivings About “Reasonable Percentage” Fees in Common Fund Cases* (2005) 18 Geo. J. Legal Ethics 1453, 1463.) As described by the California Supreme Court, “[i]f the multiplier calculated by means of a lodestar crosscheck is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Laffitte, supra*, 1 Cal.5th at 505.)

Here, the multiplier sought by Class Counsel is within the range California courts typically award, and it is supported by the percentage cross-check and Class Counsel’s declaration. Thus, the Court finds Class Counsel’s requested fee award is reasonable.

Class Counsel also seeks \$14,639.27 in litigation costs, which is below the \$20,000 allowed for in the Settlement. The request is supported by Class Counsel’s declaration. This amount is reasonable and thus, it is approved.

Plaintiffs request Class Representative Enhancement payment of \$10,000 each—totaling \$20,000.

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Incentive awards are particularly appropriate where a plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty's Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29.)

In the order granting preliminary approval, the Court ordered Plaintiffs to submit declarations detailing their efforts in this action. (See Order Granting Preliminary Approval, p. 13:3-4.)

Plaintiff Guerrero submitted a declaration in support of the request. She states she spent between 25 to 35 hours on this action, which includes meeting with Class Counsel, discussing facts related to her employment, reviewing documents, and communicating with Class Counsel. (Plaintiff Guerrero Decl., ¶¶ 4-5, 7, 10-11.) She further states that she considered the personal risk of participating in this action. (Plaintiff Guerrero Decl., ¶¶ 4, 6, 12.)

However, Plaintiff Martinez did not submit a declaration. Thus, the Court will continue the hearing on this motion to October 22, 2026, to allow Plaintiff Martinez the opportunity to submit the requested declaration.

VI. CONCLUSION

Plaintiffs' motion for final approval is CONTINUED to October 22, 2026, at 1:30 p.m. in Department 22. Plaintiff Martinez shall submit her supplemental declaration no later than October 16, 2026.

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Calendar Line 4

Case Name: *Karen Sbriglio, et al. v. Shantanu Narayen, et al.*

Case No.: 24CV429458 (consolidated with 25467627)

This is a consolidated derivative action brought on behalf of Adobe, Inc. (“Adobe”) against defendants Shantanu Narayen, Christiano Amon, Amy Banse, Brett Biggs, Melanie Boulden, Frank Calderoni, Laura Desmond, Spencer Neumann, Kathleen Oberg, Dheeraj Pnadey, David Ricks, and Dan Rosenweig (collectively, “Defendants”) for breach of fiduciary duty, waste of corporate assets, and unjust enrichment.

Before the Court is Defendants’ motion to stay, which is opposed. As discussed below, the Court DENIES Defendants’ motion for a stay pending final resolution of the Securities Action, and GRANTS their motion for a stay pending final resolution of the Securities Appeal.

I. BACKGROUND

According to the allegations of the operative consolidated shareholder derivative complaint (“FAC”), Adobe is a software company that offers a range of productivity and digital design applications on a subscription basis for, among other things, sharing documents, editing pictures, and designing webpages in the user interface and user experience (“UI/UX”) software design tools industry. (FAC, ¶ 2.) Adobe’s UI/UX design tool is Adobe XD (“XD”), a design tool for creating user interfaces in web and mobile apps. (*Ibid.*) Adobe’s products are part of its Digital Media business that is responsible for a substantial majority of the Company’s revenues. (*Ibid.*)

This action arises from Defendants’ conduct, which involved a scheme to conceal the competitive threat of Figma, Inc. (“Figma”). (FAC, ¶ 3.) They represented that it was not a threat to Adobe’s business while they internally developed a plan to acquire it. (FAC, ¶¶ 7-8.) On September 15, 2022, Adobe announces a deal to acquire Figma. (FAC, ¶ 8.) Investors and analysts understood that the deal was to protect Adobe and not a legitimate acquisition attempt. (FAC, ¶ 9.) As a result, the stock price dropped. (*Ibid.*) Defendants defended the proposed merger, and they revealed the extent of Adobe XD’s failure and Adobe’s inability to compete in the design tools market, which sent Adobe’s stock price even lower. (FAC, ¶ 10.)

Various regulatory agencies stepped in, including the U.K. Competition and Markets Authority (“CMA”), which acted first and based on its investigation, it issued a provisional conclusion that the deal would harm competition in the global market: for all-in-one product design software for professional users; vector editing software; and raster editing software. (FAC, ¶ 13.) Based on those findings and after a meeting with high-level officials from the U.S. Department of Justice (“DOJ”), adobe was forced to terminate the acquisition and make a \$1 billion payment to Figma for doing so. (FAC, ¶ 14.)

Based on the foregoing, Plaintiff Karen Sbriglio filed her shareholder derivative action on January 18, 2024 and Plaintiff Robert Daniel filed his action on May 28, 2025. On February 6, 2026, the Court issued its order which granted Plaintiff Daniel’s motion for appointment of lead counsel and denied Plaintiff Sbriglio’s motion for appointment of lead plaintiff and lead counsel. On March 16, 2026, Plaintiffs filed their consolidated stockholder derivative complaint.